Valuation and Reporting Issues Associated with a Liquidation Basis of Accounting

By Peter Woodlock, CPA/ABV, PhD (https://www.cpajournal.com/author/pwoodlock/) and Ranagamohan Eunni, PhD (https://www.cpajournal.com/author/reunni/)

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IN BRIEF

Businesses facing liquidation are often confronted with questions on how to value their assets and liabilities so as to be meaningful to important stakeholders such as shareholders and creditors. In this article, various scenarios of such businesses are explored with the help of illustrative examples and guidance is provided on how best to accomplish this objective in different situations along with the underlying rationale.

Business & Industrial

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Most businesses are formed and managed with the intent to operate as going concerns. Under some circumstances, however, a business may conclude that it is in the best interest of its stakeholders for the reporting entity to cease its operations, liquidate its assets, and settle its obligations, with any remaining resources then distributed to its stakeholders. Liquidation can be a voluntary decision based on economic circumstances, a defined event for a limited-life entity, or an involuntary act brought about by a reporting entity's creditors, the bankruptcy court, or other such parties with a claim on its assets.

Regardless of the reason for liquidation, the need for relevant financial reporting remains critical. Businesses facing liquidation, and the stakeholders of such businesses, have different reporting needs than businesses operating as a going concern. As stated in FASB Concepts Statement 1, *Objectives of Financial Reporting by Business Enterprises*, stakeholders of businesses facing liquidation need insights into what they might receive upon liquidation. As stated in FASB Concepts Statement 1:

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> Information about the past is usually less useful in assessing prospects for an enterprise's future if the enterprise is in liquidation or is expected to enter liquidation. For a reporting entity facing liquidation, the operating results and cash flows of a going concern entity are not particularly relevant to shareholders and creditors. Instead, the outstanding reporting entity's obligations and the cash or other resources on hand that can be used to satisfy those obligations are the information that is relevant for financial statement users whose business interests face liquidation. Accordingly, the measurement of assets and liabilities under the liquidation basis of accounting is needed, especially measurements that capture the resources available to satisfy the obligations of the reporting entity as well as the expected settlement of those obligations. In many respects, the liquidation basis of accounting provides insights into where the company's financial position will settle out upon liquidation.

Because of the differential information needs of stakeholders in liquidating companies, a reporting entity facing liquidation needs to adopt a "liquidation basis of accounting." In doing so, the financial statements of the liquidating company would change from a balance sheet and statement of comprehensive income and cash flows to a statement of net assets in liquidation and a statement of changes in net assets in liquidation. Tax Planning Tools

When Should the Liquidation Basis of Accounting Be Adopted?

The threshold for a reporting entity to adopt the liquidation basis of accounting occurs when liquidation is imminent, unless the entity follows a plan for liquidation that has been specified in its governing documents (e.g., its articles of incorporation) at inception. The decision of when to apply the liquidation basis of accounting is not a matter of choice for a reporting entity but is determined by the guidance provided in ASC 205-30 "Liquidation Basis of Accounting," which is summarized in a decision tree diagram (see ***Exhibit 1***).

EXHIBIT 1

When to Apply a Liquidation Basis of Accounting

(https://www.cpajournal.com/wp-content/uploads/2026/04/CPA.2026.96.1.050.f001.jpg)

According to ASC 205-30-25-2, liquidation is imminent when either of the following occurs: Business & Industrial

- A liquidation plan has been approved by a company's shareholders, and the likelihood is remote that any of the following will occur:
- Execution of the plan will be blocked by other parties (for example, creditors with shareholder rights), or

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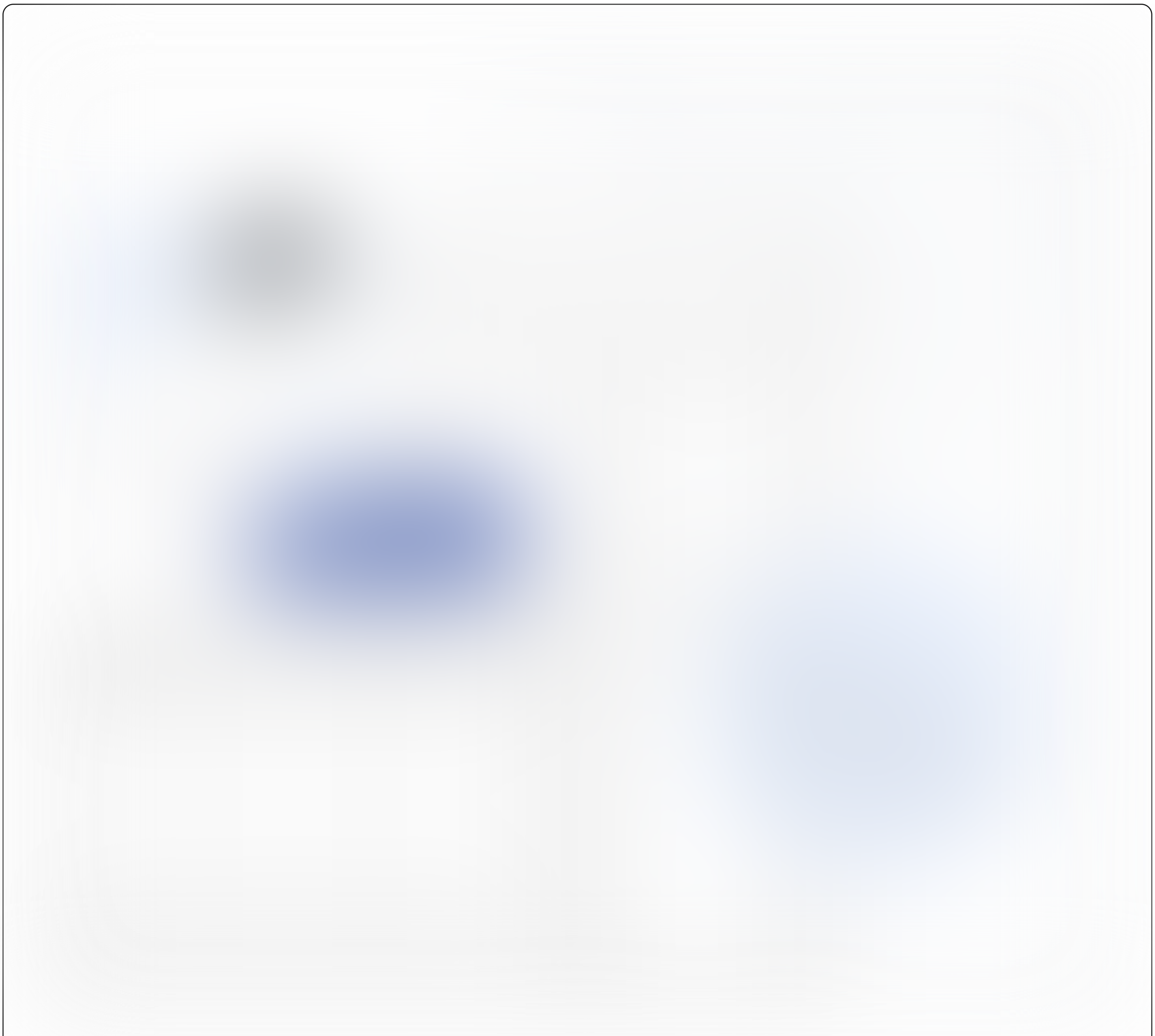
- The entity will revert from liquidation.

- The likelihood that liquidation is imposed (e.g., an involuntary bankruptcy), and the likelihood is remote that the entity will revert from liquidation.



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Depending upon a reporting entity's bylaws or the laws of the state of incorporation, the adoption of a voluntary plan of liquidation would ordinarily require shareholders' approval by at least a simple majority. The preparation of the financial statements following the liquidation basis of accounting should not commence prior to such approval, because liquidation of the reporting entity is not certain until such approval is received.

If a plan of liquidation is imposed by the court, liquidation is considered imminent even though formal approval of the plan by its board is not obtained; in any event, such approval may not be necessary, since the decision to liquidate does not rest with the board.

ASC 205-30 does not specify a duration of time for the liquidation process to become imminent. A reporting entity is required to adopt the liquidation basis of accounting as soon as it meets the definition of imminent, even if the actual liquidation event will likely occur in the future. But in cases where the liquidation process is expected to take a prolonged period of time, and if significant operating decisions that could alter the decision to liquidate might be made during that time, the reporting entity should carefully consider and determine whether the liquidation is imminent.

Example 1: Consider the following scenario. The shareholders of a distressed company X approve a voluntary plan of liquidation under which the company's assets are to be liquidated four years in the future. The voluntary plan of liquidation allows the management to take operating decisions that could affect the value of the company when liquidated and whether liquidation would eventually occur at all. Would X's liquidation be considered imminent?

Note that even though the shareholders of X approved the voluntary plan of liquidation, the length of time that must pass before liquidation occurs is irrelevant and the fact that the management's operating decisions subsequent to the shareholder approval could affect the value of the company and its future prospects in the interregnum suggests that liquidation, including the conversion of company assets to cash, is not imminent.

As noted in ASC 205-30-15-1, all reporting entities are covered by ASC 205-30 except for investment companies that are regulated under the Investment Company Act of 1940. This would include not-for-profit entities, nonpublic entities, and the separate financial statements of employee benefit plans, with the need to adopt a liquidation basis accounting being made at the entity level. Importantly, investment companies which are not regulated under the Investment Company Act of 1940 are also covered by ASC 205-30, but these companies may not need to apply such guidance if their liquidation process is to follow a plan specified at its inception.

Liquidation Basis of Accounting

Unlike traditional accounting based on costs, financial reporting under the liquidation basis of accounting focuses on cash or other valuable consideration that an investor might reasonably expect to receive upon liquidation after settling the dues of all its creditors.

When a liquidation basis of accounting is adopted, the typical recognition and measurement principles generally applied to a going concern no longer hold. Under the liquidation method, companies are required to include within their balance sheet all assets and liabilities, including internally developed intangible assets, if such assets are expected to be sold during the liquidation process.

Example 2: Pharmaceutical company Y has developed a promising new drug that has not yet gone through the FDA approval process. Although Y has expensed costs associated with developing the drug, no asset resulting therefrom appears in the books of Y. Suppose Y must adopt the liquidation basis of accounting: While valuing the assets of the company, Y must determine whether it can sell the rights to the drug and, if so, include the cash it expects to receive from such sale while drawing up its balance sheet on a liquidation basis.

Impairment Testing Prior to Liquidation

Prior to adopting the liquidation basis of accounting, a reporting entity should consider whether any adjustments to the assets and liabilities reported in its financial statements as a going concern are warranted. Generally, this will require a comparison of the carrying value of each asset or liability with its fair value. The one exception to this is testing of goodwill for impairment purposes, which requires a comparison of the carrying value of a reporting unit's net assets with its fair value.

In measuring the fair value of an asset, ASC Topic 820, "Fair Value Measurements and Disclosures," requires the use of market participant assumptions and the consideration of the most advantageous market when estimating fair value,

Example 3: Consider a company Z that meets the requirements for the adoption of the liquidation basis of accounting and has the following assets on its balance sheet just prior to the adoption of the liquidation basis of accounting:

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Prior to adopting the liquidation basis of accounting, the company will need to recognize the impairment of the plasma cutting machine and the corresponding loss in value and write it down to its fair value of $800,000.

Valuing Assets for Liquidation Purposes

For a reporting entity in liquidation, the valuation premise used to prepare the financial statements as a going concern may not always be appropriate. While ASC 820, *Fair Value Measurements and Disclosures*, requires the use of market participant assumptions and the consideration of the most advantageous market when estimating fair value, the liquidation basis is developed from the reporting entity's point of view. Under the liquidation basis of accounting, management's expectations concerning the cash to be generated from sale of the company's assets and the amounts of cash needed to settle its obligations are of utmost importance.

Example 4: Consider the same facts as above, but now company Z adopts the liquidation basis of accounting and has the following assets on its balance sheet:

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The adoption of the liquidation basis of accounting will result in company Z including the value of the plasma cutting machine at $775,000 and the buildi $1,400,000 on its recast balance sheet.

In case of imminent liquidation, the cash generated from the sale of an asset is likely to be less than what would be received were the asset sold with appropriate exposure to the market. As such, the value of any asset using the liquidation basis will often be less than its fair value.

Because of this, companies adopting the liquidation basis of accounting need to consider the factors driving the liquidation, as well as the timing of the liquidation. For example, if liquidation is mandated by a court order, which requires that the assets be sold or otherwise liquidated in, say, six months or less, the value assigned to the assets under liquidation should consider the timing of the liquidation and how this timing might affect the cash received for these assets.

Example 5: Assume company A has been ordered to liquidate its assets over the next six months. One of the machines that the company owns is in need of repairs, but because of supply chain bottlenecks, the parts needed will not be available for the following 12 months. If the machine is fixed, it could be sold for $100,000; however, without such repairs the machine would only sell for $10,000. The application of the liquidation basis of accounting would require that the machine be valued at $10,000 when preparing the balance sheet.

A company may also hold special purpose machinery—machinery whose value depends upon the company itself. For this type of machinery, the liquidation value must take into account whether the asset could be repurposed for potential sale, and what factors might limit the ability of the company to repurpose the asset. In addition, the factors that might limit the ability of the machinery to be repurposed, the time available to do so, and the risk associated with its future cash flows, especially if the machinery is unable to be repurposed, must be considered.

Example 6: Company C possesses a machine specifically made for its canning line which was acquired for $1,200,000. The company must now adopt the liquidation basis of accounting. In doing so, C's management considers the possibility that another company might buy its canning operations, inclusive of this special piece of machinery, to be remote. Because of this, the custom machinery is expected to have limited appeal in the market and would only fetch $100,000. Consequently, the machinery would be included in C's liquidation basis balance sheet at $100,000.

Alternatively, suppose company C's management believes that there is an 80% probability that another company will buy its canning operations, valuing them at 80% of the amount originally paid, inclusive of the specially purposed machine. Under these circumstances, the machine should be valued at $788,000 (80% × 80% × 1,200,000 + 20% × $100,000). Note, however, that if during the liquidation process, the company determines that no outside buyer would be forthcoming, the company will need to revalue the machinery at its anticipated selling price of $100,000 only.

For fixed assets with wide-ranging uses, as opposed to special-purpose machinery, imminent liquidation may not affect liquidation values. For such assets, fair value as defined in ASC 820 might best measure the amount expected to be received from sale of the assets.

Fair value as defined in ASC 820 should not be used to value assets with wide ranging use if the time available and needed to sell the asset—as some assets require greater amounts of time to sell than the others—could be affected by imminent liquidation. In addition, when setting a liquidation value for an asset (as opposed to its fair value), the depth of the market for the asset (which is influenced by the number of likely buyers in the current market for such assets when liquidation is imminent), and the selling prices for such assets under conditions of forced sale should be considered.

Once these assessments are made and the liquidation basis of accounting is adopted for a company's assets, goodwill is no longer to be included on the balance sheet, since outsiders would not be expected to pay for the goodwill of a company facing liquidation.

What If the Timing Is Uncertain?

The more uncertain the date of an asset's disposition becomes—whether due to the date of disposition being unknown or because liquidation would not occur in the near term—the more relevant the asset's current fair value becomes for purposes of reporting under the liquidation basis of accounting. Nevertheless, the discounting of cash flows from the expected exit or disposal date to the balance sheet date to reflect the time value of money is prohibited under ASC Topic 205 for purposes of placing a liquidation value on company assets and liabilities.

Example 7: An investment fund adopted the liquidation basis of accounting as of Jan. 1, 2024, and is expected to liquidate its assets in three years. The fund holds a private equity investment, which is generally valued by the management using a discounted cash flow model. Management expects that the private equity investment will be sold two years out from the current balance sheet date.

Would it be appropriate to apply a valuation model for liquidation purposes to value the investment that effectively discounts the expected proceeds to be received from its sale when determining the liquidation value of this investment? It would not be, because ASC 205 does not permit the use of discounted cash flows to measure the liquidation value of an asset at the reporting date. ASC 205 does not, however, preclude the use of discounting factors that embed the risk (e.g., collection risk, market risks), associated with this type of asset if it allows the company to more accurately estimate the cash expected to be collected two years out.

Example 8: An unregistered investment company with a Dec. 31 year-end has one fixed income investment with a 14% annual stated rate. The investment company determines that liquidation is imminent on Jan. 1, 2026, and will result in the disposition of this investment on Dec. 31, 2026. On Jan. 1, 2026, the investment company estimates the sales proceeds (net of selling costs) to be $20,000 as of Dec. 31, 2026, which the investment company considers the liquidation value of the investment. The fair value of the investment on Jan. 1, 2026, is $19,500.

The investment company also concludes that it has a reasonable basis to estimate the investment's interest income through the end of liquidation and accrues, as of Jan. 1, 2026, the undiscounted interest coupon payment of $2,000, which is expected to be earned during the period from Jan. 1, 2026, to the expected disposition date of Dec. 31, 2026.

Given these facts, the investment company would value this investment as of Jan. 1, 2026, for liquidation purposes of $22,000. This equals the $20,000 value plus the expected $2,000 in interest. Notice there is no discounting of either the $20,000 or the $2,000, even though each will be received one year later.

Using Net Asset Value as a Practical Expedient

When applying the liquidation basis of accounting to investment funds, careful consideration should be given to the use of net asset value (NAV) as a practical expedient for measuring the value of these funds. The practical expedient is only allowable if (among other requirements) the investee fund is following the accounting model under ASC Topic 946, "Financial Services—Investment Companies," accounting model, and if a sale at an amount that approximates NAV is probable (based on criteria in ASC 820-10-35-62).

If a fund is reporting under the liquidation basis of accounting, the fund is not reporting pursuant to ASC 946 nor valuing its investments at fair value pursuant to ASC 820. Therefore, the NAV practical expedient is not available to be used for the measurement of an investment in a fund in liquidation.

If a reporting entity is already reporting under the liquidation basis of accounting and intends to sell an investee fund in the secondary market instead of redeeming or receiving distributions from the underlying investee fund, the investee fund's NAV may not be the best estimate of liquidation value, especially when the amount expected to be received in the secondary market differs from the fund's NAV. In addition, any restrictions on exit from a given investment would need to be considered when determining liquidation value.

Other Issues

The assets of a reporting entity are typically measured at the estimated amounts of cash or other considerations expected to be collected from their sale, which are often different from the asset's fair value. ASC 205-30-25-4 requires the recognition of assets that a reporting entity expects to sell in liquidation or use to settle liabilities which would normally be recognized under non-liquidation basis GAAP. As discussed above, an example of such assets would be internally developed intangibles that may have no basis in a reporting entity's financial statements as a going concern, but which could be sold in the open market at some liquidation value.

Assets presented under the liquidation basis are not depreciated, and accumulated depreciation is not presented. The reason for this is that liquidation values represent the cash values that would be received on liquidation of such assets, with the liquidation values reflecting what the market would currently pay for such assets. In such a scenario, depreciation has no meaning or relevance.

Once the liquidation basis of accounting is adopted, the need for impairment testing and other methodologies for adjusting the asset values under a going concern basis of accounting are also no longer relevant. In theory, because assets are estimated at the amount of cash the reporting entity expects to collect upon their sale, gains or losses on asset dispositions would also not be expected to be included when preparing the financial statements under liquidation-basis accounting.

> ***Liabilities associated with specified contractual amounts should not be written down to their estimated settlement amounts until the liabilities are legally settled.***

Because the liquidation-based balance sheet captures the cash expected to be received upon the liquidation of a company's assets, deferred charges and other assets (including prepaid expenses) that will not be converted to cash or other consideration should be written off at the date of adoption of the liquidation basis of accounting.

It should also be noted that the test for imminent liquidation applies to the entity as a whole, so it should not be applied to the individual assets and liabilities related to a portion of a company's operations that would be liquidated in the subsequent months. It should be stressed that the liquidation basis of accounting is applied at the reporting entity level, and not to specific portions of a consolidated group. A company looking to dispose of a portion of its operations should refer to the guidance related to the accounting for impairments, disposals, and discontinued operations, as appropriate.

Valuing Liabilities

GAAP requires that a reporting entity in liquidation continue to recognize and measure its liabilities in accordance with the recognition and measurement provisions that would otherwise apply to those liabilities. Certain events that may occur in connection with a liquidation, such as a covenant violation or a troubled debt restructuring, have specific accounting guidance that a reporting entity should consider even when the liquidation basis of accounting is being followed.

Furthermore, liabilities associated with specified contractual amounts should not be written down to their estimated settlement amounts until the liabilities are legally settled. Liabilities without contractually specified amounts that are measured based on estimates of settlement amounts and the timing of settlement should be adjusted to incorporate all changes to assumptions, which are impacted by the reporting entity's decision to liquidate.

For example, a reporting entity may have a debt obligation which, prior to applying liquidation-basis accounting, would be settled in two years. Upon adopting liquidation-basis accounting, a reporting entity may now need to settle the debt obligation within six months. The reporting entity should recompute the debt obligation as of the date it adopts liquidation-basis of accounting and adjust the value of the liability to reflect the revised settlement date. It should not, however, reduce the estimated cash outlays associated with the debt obligation for any anticipated forgiveness until such debt (or parts thereof) is legally forgiven.

Example 9: Assume Company B has a note payable that matures in five years, at which time the payment to settle the note would equal $10,000 ($9,000 in principal and $1,000 in interest). Company B adopts the liquidation basis of accounting and expects that the note will be settled in six months, at which time only $9,500 will be owed ($9,000 + interest of $200 + an early repayment penalty of $300). For liquidation purposes, the note payable should be valued at $9,500.

Application of the Liquidation Basis of Accounting

The liquidation basis of accounting is applied prospectively only from the day that liquidation becomes imminent, and so a reporting entity adopting the liquidation basis for the first time would not retrospectively adjust its historical financial statements (see the partial financial statements with Accountant's Compilation Report in the *Sidebar*).

For practical reasons, the liquidation basis of assets, liabilities, and any adoption adjustments needed because of a movement to the liquidation basis of accounting may be determined using a "convenience date." A convenience date is a date shortly before or after the date the criteria for adoption of the liquidation basis of accounting are met (such as the beginning or end of the month or quarter in which the requirements of imminent liquidation are met) and is used when the impact is not quantitatively and qualitatively material to the reporting entity's financial statements for all periods presented. Regardless of the use of a convenience date, the adoption date of the liquidation basis of accounting as presented on the liquidation-basis statements and disclosed in the notes to these statements is usually the actual date the criteria for the adoption of the liquidation basis of accounting are met.

Generally, a convenience date should not cross a quarterly or annual reporting period. In cases when the imminent liquidation threshold is met after the balance sheet date but prior to the release of the financial statements, the prior period financial statements should continue to be prepared on a going-concern basis and include appropriate subsequent event disclosures, which may include pro forma financial data for the liquidation basis of accounting.

The liquidation basis of accounting does not apply to a planned wind-down of a reporting entity's activities that will occur over time or when the legal entity will be kept active and may continue or increase operations with an improvement in the business climate. In such circumstances, the resolution by the board of directors or other governing bodies does not usually clearly indicate that liquidation is imminent, and it may be difficult for the reporting entity to assert that the likelihood it would revert from liquidation is remote.

Example 10: Assume that the management of a bar determines that it will suspend operations and sell off its existing fixed assets over the next six months. Following the distribution of these assets, the business will not be dissolved, as it holds a liquor license that the reporting entity's parent wants to keep intact because it might reopen the bar when conditions improve. Should the reporting entity adopt the liquidation basis of accounting?

The answer is no. The bar should not adopt the liquidation basis of accounting because its liquidation is not considered imminent. The reporting entity would not be able to assert that its return from liquidation is remote, since it is keeping its bar license intact and could resume operations if market conditions improve.

Example 11: The board of directors of a research entity decides that, because of the loss of a lawsuit covering its intellectual property, the long-term viability of the reporting entity is in doubt. The board authorizes management to sell the reporting entity's assets and settle all of its obligations, but there is no plan to make a final distribution of its assets or to dissolve its corporate charter while the board explores other investment alternatives. Should the reporting entity adopt the liquidation basis of accounting?

The answer is no. The research entity should not adopt the liquidation basis of accounting because its liquidation is not considered imminent. While the reporting entity is disposing of its assets and settling its obligations, the entity's corporate charter is neither being dissolved nor are the proceeds from the liquidation being distributed. As the board explores other investment alternatives, the reporting entity remains a going concern, because it is considering using the sale proceeds to enter a new business. The reporting entity would not qualify for the liquidation basis of accounting until its board of directors approves further actions, such as a full dissolution of the reporting entity's corporate charter and the distribution of any remaining proceeds to its shareholders.

Understanding Management's Expectations

For a reporting entity in liquidation, the valuation premise used to prepare going concern financial statements may not always be appropriate. While ASC Topic 820, "Fair Value Measurements and Disclosures," requires the use of market participant assumptions and the consideration of the most advantageous market when estimating fair value, the liquidation basis of accounting is developed from the reporting entity's point of view and is based on management's expectations.

Because management's expectations are embedded into liquidation values, the liquidation basis of accounting provides valuable information to stakeholders which might not otherwise be available. This information includes the amount of cash expected to be realized from the liquidation of a company's assets, as well as the amounts that will be paid to creditors during the liquidation process. Providing such information lets stake-holders better assess the economic consequences of liquidation and how this would impact them financially.

Partial Liquidation Basis Financial Statements with Accountant's Compilation Report

INDEPENDENT ACCOUNTANT'S COMPILATION REPORT

Members

BAR T LLC

Newal, Mass.

Management is responsible for the accompanying financial statements of BAR T LLC, which comprise the statement of net assets in liquidation as of Dec. 31, 2025, the related statement of changes in net assets in liquidation for the period from Jan. 1 to Dec. 31, 2025, and the balance sheet as of Dec. 31, 2025, and the related statements of income, changes in members' equity, and cash flows for the year ended Dec. 31, 2025, in accordance with accounting principles generally accepted in the United States of America.

I have performed a compilation engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. I did not audit or review the financial statements nor was I required to perform any proced to verify the accuracy or completeness of the information provided by management. I do not express an opinion, conclusion, nor provide any assuranc these financial statements.

As discussed in Note A to the financial statements, the Company's voting members approved a plan of liquidation on Mar. 18, 2025, and the Company determined therefore that liquidation was imminent. As a result, the Company changed its basis of accounting on Mar. 19, 2025, from a going-concern basis to a liquidation basis.

PW CPA

Poland, Mass.

Feb. 15, 2026

Consolidated Statement of Net Assets in Liquidation at Dec. 31, 2025 (in thousands)

(https://www.cpajournal.com/wp-content/uploads/2026/04/CPA.2026.96.1.050.tu001.jpg)

Consolidated Statement of Changes in Net Assets in Liquidation For the Period of Mar. 19, 2025, to Dec. 31, 2025 (in thousands)

(https://www.cpajournal.com/wp-content/uploads/2026/04/CPA.2026.96.1.050.tu002.jpg)

NOTE A: LIQUIDATION

The voting members of BAR T LLC (the Company) approved a plan of dissolution on Mar. 18, 2025, and the Company determined therefore that liquidation was imminent. As a result, the Company changed its basis of accounting on Mar. 19, 2025, from a going concern basis to a liquidation basis. A summary of the changes in carrying values of the Company's assets and liabilities to the liquidation basis as of Mar. 19, 2025, follows (all values are in thousands):

Accrual of Estimated Operating Income to be Earned During Liquidation $200

Revaluation of Inventory .... –$100

Addition of Previously Unrecorded Intangible Assets $400

Accrual of Estimated Operating Costs and Expenses to Be Incurred During Liquidation $100

Accrual of Estimated Disposal and Other Liquidation Costs to Be Incurred .... –$900

Net Adjustment of New Assets to a Liquidation Basis .... –$500

The Company plans to dispose of its remaining assets and settle its remaining liabilities over the period of time it will take the Company to complete the contracts it had in process as of Mar. 19, 2025, with expectations that this work will be complete over the next 9 to 12 months. Any revenues generated from the Company's contracts in process as of Mar. 18, 2025, are expected to be recognized over the same 9–12-month period with any costs associated with these contracts also to be recognized over this same time period.

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